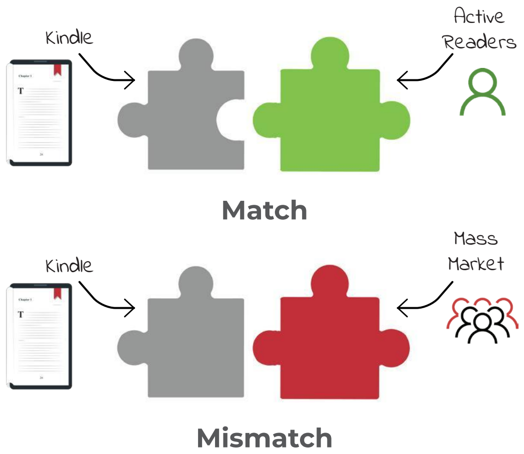
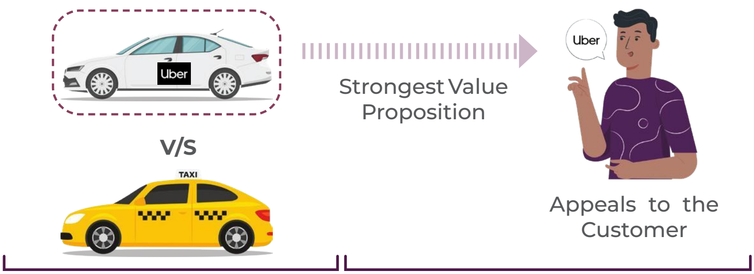
Value proposition refers to the gains that a company's products and services create or the pains they relieve for a set of customers, in exchange for which they expect to earn a profit. The company's product and service offering must match the adequate set of customers who are looking to relieve themselves of similar pain or have similar gain requirements.



To elaborate, there must be a product-customer fit or match i.e. you must sell the right product to the right set of customers. For example, if you want to sell a Kindle, you must find people who are active readers and not look at the mass market.



Each company alters its value proposition and tries to be stronger than others in the same industry.

The one with the strongest value proposition gets bought by the customer.

However, another important factor is the perception of value, which is subjective across different customers. Some customers may perceive a proposition to be very valuable whereas others may not even consider that proposition, depending on their pains and desired gains.